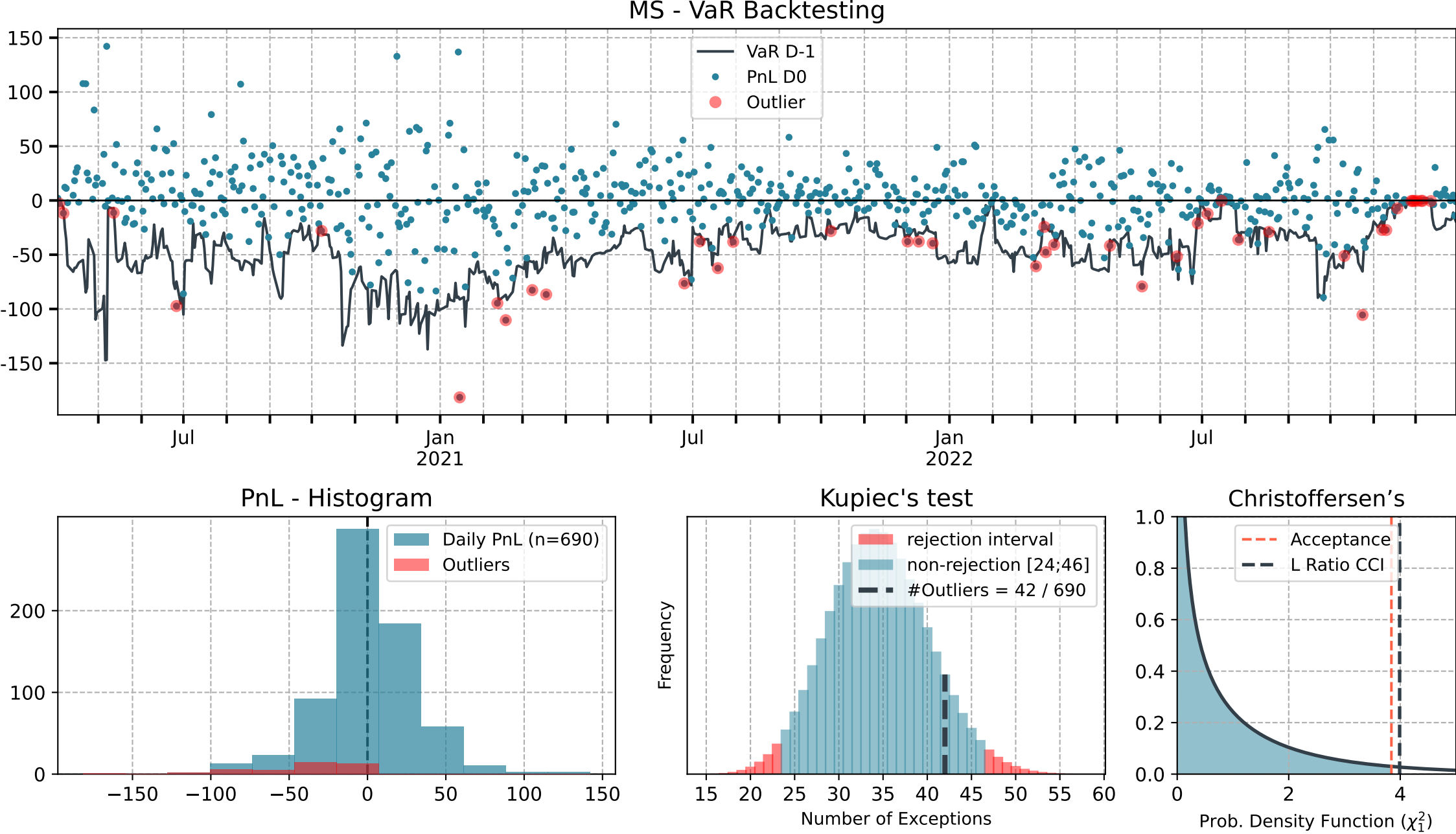
MS - VaR Backtesting
VaR D-1
PnL D0
Outlier
150
100
50
0
-50
-100
-150
Jul
Jan
2021
Jul
Jan
2022
Jul
PnL - Histogram
Daily PnL (n=690)
Outliers
200
100
0
−150
−100
−50
0
50
100
150
Kupiec's test
rejection interval
non-rejection [24;46]
#Outliers = 42 / 690
Frequency
15
20
25
30
35
40
45
50
55
60
Number of Exceptions
Christoffersen’s
Acceptance
L Ratio CCI
1.0
0.8
0.6
0.4
0.2
0.0
0
2
4
Prob. Density Function (χ_1^2)